

complicated investment portfolios, high advisory fees, and excessive trading that benefits the financial services industry.

To be a successful investor, you have to build a strong foundation. This starts by understanding your investment strategy. You need first to understand the basic math that governs all investments. Then you must choose an investment path that both matches your individual strengths and abilities and gives you a reasonable chance to achieve your financial goals.

The Investment Equation

Those on the standard path through life are typically advised to save 10 to 20 percent of their income into their 401(k) or other retirement accounts. If you start early enough, choose a great advisor, and the stars align just right, you should reach FI and retire securely, maybe even a few years early. If we return to the relevant portion of the chart from Chapter 4, adapted from the popular *Mr. Money Mustache* (MMM) article “The Shockingly Simple Math Behind Early Retirement,” you’ll see this sets you up for a standard forty- to fifty-year career.